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Robert Schiffman
Team: Credit
BI Senior Credit Analyst

Oracle's AI Build-Out Means Debt Hangover Extends Through 2027

Contributing Analysts Suchi Trivedi

(Bloomberg Intelligence) -- Oracle's next credit test is less about 2026 bond supply than whether surging AI revenue can outrun its massive capital needs. At least another $20 billion of borrowing may come in 2027 as free cash flow stays deeply negative. Equity, customer funding and project financing provide important offsets, and rapid Ebitda growth offers an eventual path to deleveraging, but execution and lease obligations keep ratings pressure elevated. (10/06/26)

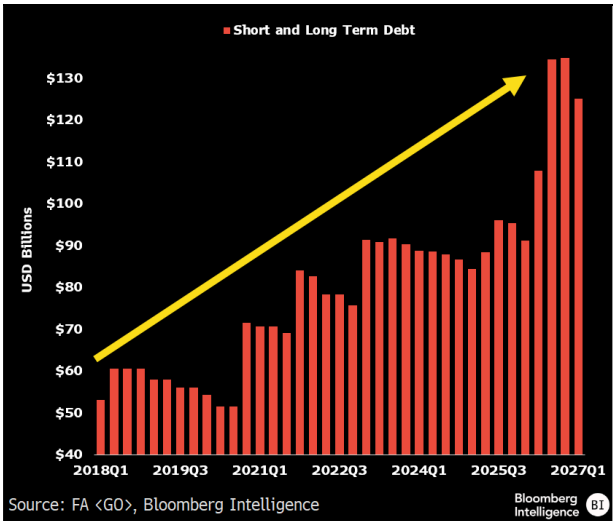
1. Debt Nears Peak and Heads Even Higher

Contributing Analysts Suchi Trivedi

Oracle's debt has risen to record levels approaching $125 billion, up from $108 billion at the end of fiscal 2025, even after declining from roughly $131 billion at the end of fiscal 2026. Its balance-sheet expansion stands out well beyond tech, with Oracle now among the largest non-financial issuers in the Bloomberg US Corporate Bond Index after February's $25 billion bond sale. Heavy AI infrastructure spending should keep free cash flow deeply negative, though Oracle has added more equity to its funding mix, including $5 billion of mandatory convertibles and a completed $20 billion equity issuance.

Management says no more debt is expected in calendar 2026, but roughly $40 billion of fiscal 2027 funding needs suggest borrowing will return, with $20 billion or more of debt issuance likely in 2027. (10/06/26)

Oracle Debt Rises as AI Funding Needs Climb



2. Will Backlog Growth Transition to Cash Flow?

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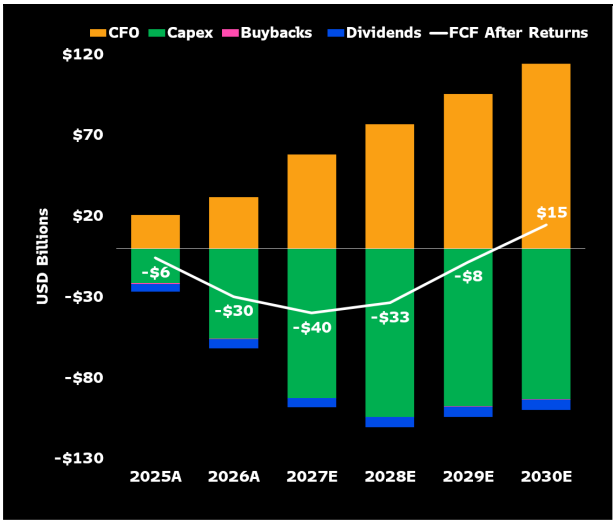
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Bloomberg Intelligence

Oracle's free cash flow will likely remain deeply negative as AI infrastructure spending surges. Consensus implies roughly $80 billion of cumulative cash burn through fiscal 2029 including dividends. Management has shown willingness to limit external funding needs through a mix of debt, equity and customer-supported equipment purchases. Remaining purchase obligations reached $664 billion in 1Q, up $209 billion year-over-year, yet Oracle said new contract structures won't increase its capital plan. Oracle raised $48 billion in fiscal 2026 -- $43 billion of debt and $5 billion of equity -- and plans about $40 billion of fiscal 2027 financing. With its $20 billion ATM equity raise completed in 1Q, substantial funding needs remain for 2027.

The sizable equity component reinforces management's commitment to maintaining a solid investment-grade balance sheet. (10/06/26)

Oracle Capital Allocation Outlook



Source: Bloomberg Intelligence

3. AI Build-Out Boosts Revenue Expectations

Contributing Analysts Suchi Trivedi

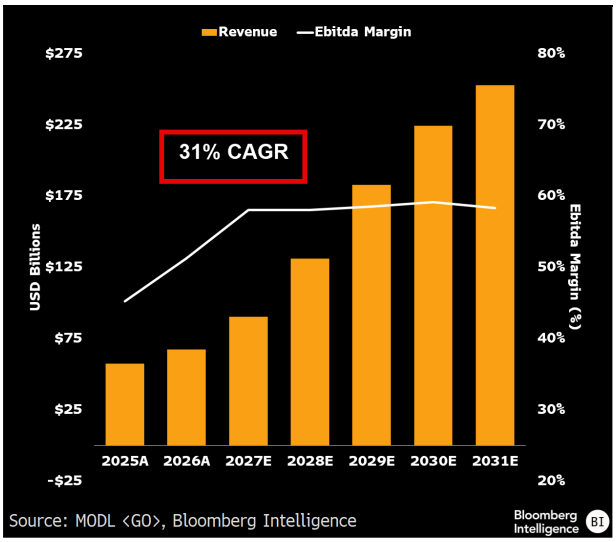
Despite concerns around Oracle's rapid data-center build-out and customer concentration, revenue growth expectations remain substantial. Execution risk has heightened since Oracle issued a force majeure notice on Project Jupiter amid permitting and energy-infrastructure delays, though it says the project remains on schedule. Slippage could slow conversion of remaining purchase obligations into revenue. Oracle targets $225 billion of fiscal 2030 revenue, a roughly 31% CAGR from 2025, while fiscal 2027 guidance of at least $90 billion implies 34% growth.

Consensus assumes much of the backlog converts to revenue and Ebitda margins rise above 55%, providing significant deleveraging capacity despite higher absolute debt. (10/06/26)

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Revenue and Ebitda Growth Consensus



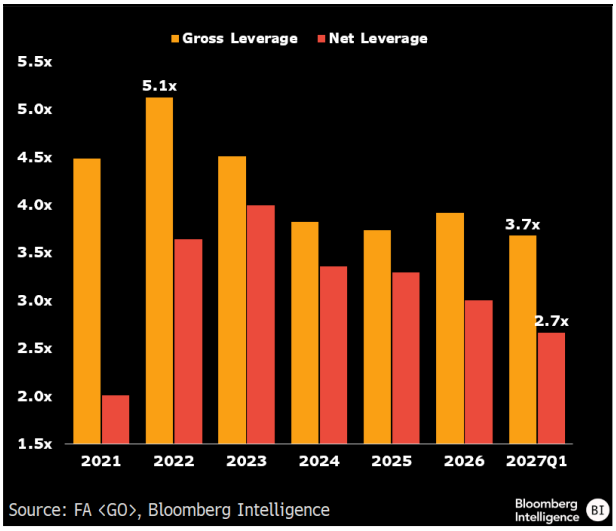
4. Leverage Rises, But Ebitda Growth Offers Relief

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Oracle's leverage may rise as data-center investment outpaces Ebitda growth and additional borrowing funds capex, though gross leverage remains below its 2022 peak. Deleveraging potential is substantial, with consensus Ebitda rising from about $26 billion in fiscal 2025 to more than $130 billion by 2030. Reported leverage also understates broader obligations: Oracle had $44 billion of lease liabilities at the end of 1Q and another $288 billion of lease commitments (largely data centers) not yet on its balance sheet.

Equity issuance, customer-funded equipment and lease financing can reduce upfront debt needs, though raters may capitalize portions of these obligations. Rising Ebitda should still support investment-grade leverage over time. (10/06/26)

Oracle Unadjusted Gross and Net Leverage



5. One and Done, Funding Needs Sorted for Year

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Beyond unsecured bonds and equity, Oracle can tap bank loans, private credit and project-level financing to fund its data-center buildout while limiting pressure on reported corporate leverage. Reported structures include as much as $38 billion of off-balance-sheet financing tied to private data-center projects, though such obligations may still influence rating agency leverage assessments.

Ratings remain investment grade but reflect the funding risk. After Oracle's $25 billion February bond sale, Moody's affirmed Baa2/Negative and Fitch BBB/Stable, while S&P later cut Oracle one notch to BBB- but moved the outlook to Stable. S&P cited Oracle's 2026 funding plan positively, while Moody's highlighted its contracted return approach to AI infrastructure investment. (10/05/26)

Bloomberg Transcript

"To support our capital investments program, we expect to raise around $40 billion in debt and equity in our fiscal year '27, and that includes our already announced $20 billion at the market equity issuance. We don't anticipate raising additional debt funding in calendar year 2026...And as we pursue these opportunities, we'll remain focused on disciplined capital allocation, maintaining a strong balance sheet, and preserving our investment-grade credit rating."

Hilary Maxson - 4Q 2026 Earnings Call, Oracle
Earnings Call, June 10, 2026

Click to view entire transcript

To contact the analyst for this research:

Robert Schiffman at rschiffman3@bloomberg.net

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